

F. Attorneys' Fees

Pursuant to California Code of Civil Procedure section 405.38 provides that a "court shall direct that the party prevailing on any motion under this chapter be awarded the reasonable attorney's fees and costs of making or opposing the motion unless the court finds that the other party acted with substantial justification or that other circumstances make the imposition of attorney's fees and costs unjust." Both sides assert they are entitled to fees here. Milad Hejazian is the prevailing party, but reserves his right to request fees. Accordingly, the Court need not address any specific claims at this time.

5. 9:00 AM CASE NUMBER: C25-02209
CASE NAME: BRASS DOOR RESTAURANT INCORPORATED VS. 8 TO 5 PROPERTIES LLC
1ST AMENDED COMPLAINT
FILED BY: 8 TO 5 PROPERTIES LLC
TENTATIVE RULING:

Defendants, 8 to 5 Properties LLC, and its managing member, Nancy Schlesinger, demur to the First Amended Complaint, filed by plaintiff, Brass Door Restaurant Incorporated. The demurrer is **OVERRULED**. Defendants' answer shall be filed and served on or before September 24, 2026 (this date is intended to accommodate hearing of the motion to strike set for September 14, 2026).

A. Allegations and Background

This is a commercial lease dispute involving a property in San Ramon at which plaintiff operated a restaurant. 8 to 5 Properties, LLC entered into the current lease with plaintiff's predecessor in interest on July 1, 2015. (FAC, Exhibit A [Lease].) The Lease is a 10-year lease with two 5-year options. Plaintiff took over the lease in March 2016. Rent at the time was \$14,000 per month, and has increased each year such that it was \$20,427.01 per month as of June 1, 2025. (FAC, ¶10-11.)

Plaintiff had been an exemplary tenant during the past 9 years of lease performance and has generally paid rent on time and in full and maintained the premises in good condition. (FAC, ¶12.) When the Covid pandemic hit, plaintiff, like every other restaurant in California, found itself subject to state and local government's severely restrictive shelter-in-place rules and could not operate at all, or was limited to takeout-only. (FAC, ¶13.) The rules severely impacted cash flow, including plaintiff's ability to pay rent. (*Ibid.*) Plaintiff conferred with its landlord about this emergency situation in April and May 2020. They agreed at that time that defendants would forgive April 2020 rent and reduce rent from May 1, 2020 - September 30, 2020. In conformance with parties' agreement, plaintiff started paying full rent in October 2020. (FAC, ¶14.)

Despite receiving full rent, defendant landlord has "agitated" for more money from plaintiff, demanding approximately \$63,000. (FAC, ¶15.) Defendant landlord has further raised meritless complaints about maintenance, reported plaintiff to the local health department, and sent people to inspect the property without warning and at times when the inspections interfered with plaintiff's business. (FAC, ¶¶16-19.)

Plaintiff took actions to exercise its option to extend the lease. Specifically, Shahla Azad corresponded with the property manager for defendants. In her correspondence, Shahla proposed an adjustment to the amount of rent. Defendants have since attempted to repudiate that the option was exercised and charge holdover rent. (FAC, ¶¶20-24.)

On May 23, 2025, parties mediated the dispute and negotiated an agreement to address this impasse. (FAC, Exhibit B [interim settlement agreement]).

Plaintiff alleges, in paragraph 26:

In an effort to negotiate an agreement to address this impasse, the parties mediated the dispute on May 23, 2025. At the end of the mediation, DEFENDANT and SCHLESINGER committed to producing a proposed lease for the upcoming option period. The purpose of the interim agreement was to provide a bridge between the stated termination date of the Lease and August 1, 2025 when the parties would commence the first 5-year option period of the Lease. As the interim agreement was an extension of the Lease agreement between the parties, it was not subject to any mediation confidentiality.

Parties agreed to a third party inspection, which occurred and concluded the premises were in "fair to good condition." Still, after the inspection, defendants demanded plaintiff conduct over \$200k in immediate repairs. (FAC, ¶28.) As of July 31, 2025, the interim agreement expired and defendants failed to comply with the terms of the interim agreement and the option provision of the lease. (FAC, ¶29.)

Plaintiff made a good faith effort to continue operating through 2025 and continued to pay rent while defendants "continued their campaign of harassment," but plaintiff finally made the decision to give up possession of the premises. (FAC, ¶¶30-31.)

Prior to, and after, returning possession, Shahla Azad made statements publicly that she would re-open Brass Door at another location. (FAC, ¶32.) Around December, Azad became aware that defendants had been posting written notices on various social media indicating that Schlesinger would "re-open" Brass Door under "new management." Defendants created a "Brass Door" Facebook page and then blocked plaintiff from accessing the page in an effort to hide efforts to market the "new" Brass Door. (FAC, ¶33.) Plaintiff also learned defendants applied to the US Patent and Trademark Office to trademark the "Brass Door" name and trademark. (FAC, ¶34.)

Plaintiff brought suit on August 1, 2025. On March 9, 2026, the FAC was filed, alleging: (1) Breach of Lease; (2) Breach of Covenant of Good Faith & Fair Dealing; (3) Intentional Interference With Prospective Economic Advantage; (4) Promissory Estoppel; (5) Temporary Restraining Order & Preliminary Injunction; (6) Declaratory Relief; (7) Breach of the Covenant of Quiet Enjoyment, and (8) Constructive Eviction.

After efforts to meet and confer (see Declaration of Pritpal Singh in Support of Demurrer, filed 4/14/26), defendants filed this demurrer arguing that the FAC is based on inadmissible content (subject to meditation privilege) and removal of the content would render the pleading uncertain, or deprive it of facts necessary to state a cause of action.

Plaintiff opposes the motion, arguing that the FAC is based on a settlement agreement that may have resulted from meditation, but which is not made inadmissible under the relevant statutes. At the time of writing, no reply has been received.

B. Standard

In reviewing the sufficiency of a complaint, all material facts properly pleaded are deemed admitted, but not contentions, deductions or conclusions of fact or law. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318, citations omitted.) The complaint is read as a whole and the parts in their context, considering matters which may be judicially noticed. (*Ibid.*; Code Civ. Proc. § 430.30(a).)

C. Discussion

Defendants' demurrer provides little analysis, but argues each and every cause of action is based on inadmissible mediation writings or communications. Plaintiff counters that Evidence Code § 1123(d) provides grounds to allow use of the Interim Settlement Agreement. That provision states that a "written settlement agreement prepared in the course of, or pursuant to, a mediation, is not made inadmissible, or protected from disclosure, by provisions of this chapter if the agreement is signed by the settling parties and [...] [t]he agreement is used to show fraud, duress, or illegality that is relevant to an issue in dispute." This argument has merit. Further, even if portions of the FAC might be subject to mediation confidentiality, each cause of action appears to be based on more than just what occurred at mediation. Because a demurrer may not be sustained to part of a cause of action (see *Kong v. City of Hawaiian Gardens Redevelopment Agency* (2002) 108 Cal.App.4th 1028, 1047), the demurrer is overruled.

6. 9:00 AM CASE NUMBER: C25-03818
CASE NAME: MARIO DE LEON VS. PACIFIC CLIMBING SOCIETY, A BUSINESS ENTITY
COMPLAINT
FILED BY: PACIFIC CLIMBING SOCIETY, A BUSINESS ENTITY
TENTATIVE RULING:

Defendant Pacific Climbing Society ("Defendant") filed a Demurrer to plaintiff AMERICA A. DE LEON's and MARIO DE LEON's ("Plaintiffs") Complaint on April 8, 2026 (the "Demurrer"). The Demurrer was set for hearing on August 31, 2026.

Background and Analysis

No opposition was filed. However, Plaintiffs filed a First Amended Complaint on August 18, 2026.

A party may amend its pleading once without leave of the court at any time before the answer, demurrer, or motion to strike is filed, or **after a demurrer or motion to strike is filed but before the demurrer or motion to strike is heard if the amended pleading is filed and served no later than the date for filing an opposition to the demurrer or motion to strike.** Code Civ. Proc. § 472(a).

When the plaintiff files an amended complaint in response to a defendant's demurrer before the hearing on the demurrer, that hearing should be taken off calendar because the amended complaint supersedes the complaint to which the demurrer was directed. *People ex rel. Strathmann v. Acacia Research Corp.* (2012) 210 Cal.App.4th 487, 506; see CJER, *California Judges Benchbook: Civil Proceedings—Before Trial* (2025) ("CJER Civ. Pro.—Before Trial"), § 12.11.

Accordingly, the Court orders the Demurrer off-calendar as moot in light of the amended complaint.

Disposition

The Court finds and orders as follows:

1. The Demurrer is ordered **OFF-CALENDAR** as moot.
2. The Court shall issue the order after hearing.